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RE: AER-2024-0594: Self-Targeting in U.S. Transfer Programs

Dear Charlie, Adam, and Evan,

Thank you for submitting your paper “Self-Targeting in U.S. Transfer Programs” to the *American Economic Review*. I have heard back from four expert reviewers, and I have read the paper myself.

I am very sorry to report that based on the advice of the reviewers and my own reading of your paper, I have decided not to publish your paper in the *American Economic Review*.

I very much enjoyed reading your paper. I think the question of self-targeting vs. automatic enrollment is important and of general interest. I also very much like how you connect the empirical and theoretical parts of your paper. Finally, I thought the paper was very well written and the empirics were well done. In short, I saw potential in the paper, and I therefore sent it out for review.

The reviewers also believe you are examining an important topic and had praise for many aspects of the paper, in their reports or their letters to me, including sentences like “I really appreciated the paper’s creativity to ask a simple yet novel question and answer it using well-known data” and “I found the paper compelling, clear, and novel in its simplicity.” However, none of the reviewers were sufficiently convinced that your paper is a good fit for the *AER* and all of them advise me to reject the paper (with R3 a bit on the fence saying they would have selected “reject and resubmit” if that were an option). The reviewers have broadly overlapping concerns. I read the reports as raising two overarching concerns. On the empirical side, the reviewers did not find the qualitative results very innovative and had concerns about the quantitative estimates. On the theory side, reviewers thought that the welfare model was stacked against automatic enrollment because it did not allow for insurance value and because of other choices in the setup (not endogenizing ordeals; assuming budget neutrality; questions about the treatment of scale).

I generally share the concerns of the reviewers, though I also recognize that all papers have limitations one way or the other. No paper is perfect. Hence, I was primarily

swayed by the overall judgment that all four of these reviewers made about the overall contribution to the literature, and their weighing of the paper's strengths and limitations. These reviewers know this literature well and I believe they are all fair minded. I am very sorry, but based on the advice of the reviewers and my own reading of the paper, I have decided not to further pursue your manuscript at our journal. While I understand this news will be disappointing, please keep in mind that the highly selective nature of the *AER* implies that we have to reject many good papers.

Given the randomness in the draws of reviewers and heterogeneity in judgments by editors, it may not be unreasonable to submit your paper to a journal of similar level of selectivity as the *AER*. Alternatively, you could consider the transfer option from the *AER* to *AEJ-Policy*. In their letter to me, R3 thinks this paper would be a "slam-dunk" at the *AEJ* level. (FWIW, based on my experience as editor at *AEJ-Policy*, no paper is a slam-dunk there, but clearly this reviewer is enthusiastic at the *AEJ* level). R4 writes to me that they think your paper "would be very deserving of being published in a journal such as *AEJ: Policy*." R1 and R2 don't mention what they think would be an appropriate outlet and I'm not very good at guessing what they'd advise at the *AEJ* level based on their letters to me. I think it could go either way. If I were handling the paper at *AEJ-Policy* with these four reports, I would see potential in the paper; I would discount concerns about contributions over the literature (or the novelty of the findings), but I would still want empirical concerns such as the low take-up rates (mentioned by R1) addressed and I would want a welfare framework that does not appear to stack the deck (esp. I would want one that recognizes insurance value and that relaxes budget balance). So, I think also at the *AEJ* level, I would guess it would require some non-trivial revisions. If you consider using the transfer option, please take a look at the guidance from the *AEJ* editors: <https://www.aeaweb.org/journals/pol/submissions/guidelines>. Please note that the *AEJ* editors are fully independent and make their own evaluations of the manuscript. They may thus very well have a different assessment of the paper than I have.

I wish you all the best in continuing your work in this area, and I hope that the current editorial decision will not discourage you from submitting other papers to our journal in the future. Thank you for considering the *American Economic Review* as an outlet for your research.

Kind regards,
Erzo

Erzo F.P. Luttmer
Editor, *American Economic Review*